

because of the natural incentives and forces associated with governments. A state cannot resist a method of confiscating assets, particularly one that is hidden from the view of most voters and subjects. By extension, it is unreasonable to advocate a gold *standard*, which is simply a state's promise that its currency will always be redeemable in gold. A gold standard is only as good as the political promises behind it, reducing its value to no more than that of paper. It could be argued, in fact, that a state-sponsored gold standard is far more dangerous than none at all, as it imbues citizens with a false sense of security. Their long range plans are thus built upon an unreliable promise that the monetary measuring unit will remain stable.

The only sound monetary system is a voluntary one. The free market always chooses the best possible form, or forms, of money. To date, the market's choice throughout the centuries, wherever a free market for money has existed, has been and remains *gold* and currency redeemable in gold (and occasionally silver). This preference will undoubtedly remain until a better form of money is discovered and chosen. Until then, prices should be denominated not in state fictions such as dollars or yen or francs, but in grams of gold. Anyone might issue promissory notes as currency, but the acceptance of such paper certificates would then be an individual decision, and risks of loss through imprudence or dishonesty would be borne by only a few individuals by their own conscious choice after considering the risks. Critical to the understanding of the wisdom of such a system is the knowledge that private issuers of paper against gold have every long run incentive to provide a sound product, just as do producers of any product. As a result, risks would be minimal, as the market would provide its own policing. Thievery and imprudence will not disappear among men, but at least such tendencies in a free market for money would not have the potential to be institutionalized, as they are when a state controls the currency. From a macroeconomic viewpoint, occasional losses resulting from dishonesty or imprudence would be extremely limited in scope, as opposed to the nationwide disasters that state controlled paper money has facilitated throughout history, which have in turn had global repercussions. As *Elliott Wave Principle* put it, "That paper is no substitute for gold as a store of value is probably another of nature's laws."

That being said, it is also true, and crucial to wise investing, that markets come in both "bull" and "bear" types. Being a "gold bug" at the wrong time can be very costly. For fifteen years, gold